INDEPENDENT CASE STUDY | PUBLIC INFORMATION ONLY

Brighthouse / Aquarian

A $22 spread priced for failure

Merger-arbitrage assessment of Aquarian Capital's $70.00 cash offer for Brighthouse Financial (NASDAQ: BHF)
Valuation date: close of 14-Oct-2026 (BHF $47.80) | Figures in US$ unless noted
Spread, implied probability, break value, scenario tree, sizing, hedging and catalysts

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Not prepared for, reviewed by or affiliated with Brighthouse, Aquarian, Talcott or any employer or client. Not investment advice.

Recommendation: buy BHF at $47.80 with a 2% NAV starter (3% max), sized as an option on approval

The market implies a 15% chance that Aquarian closes; we put any close at 25%. The stock gains 46% if the deal closes and loses 7% if it breaks.

15.2%

Market-implied P(close)

Base break $44.50, carry to a 31-Jan-27 close. At signing it was 86%.

+6.7%

Expected return (PV)

Probability-weighted value $51.00; 17% annualised over 0.42 years

−0.37%

NAV at risk, low-case break

On the 2% starter if BHF falls to $39.02 (0.25x BV ex-AOCI). Base break: −0.14%

The spread is wide for a reason.

Delaware has hired outside experts and has questioned Aquarian's capital sources. The 6-Dec-2026 outside date is final unless amended, and no fee is owed to BHF if regulators refuse.

Textbook break prices sit above the stock.

The undisturbed multiple rolled forward gives $54.76 and the peer-adjusted price $61.45. The market is pricing a "damaged goods" break near $44.50.

The payoff is asymmetric.

+$22.20 to $70 against −$3.30 to the base break (6.7x). The trade breaks even with only a 5.2% chance of closing as signed.

Talcott gives a second way to win.

It bid $52.00 after diligence in 2025 and wrote to the board again in August 2026. A $2.50/sh tail fee is owed to Aquarian if BHF signs with Talcott within 12 months of terminating.

Source: Model (model/BHF_merger_arb_model.xlsx); BHF 8-K 6-Nov-2025, DEFM14A 7-Jan-2026, Q2-26 release; Delaware DOI 17-Aug-2026; Bloomberg/Royal Gazette (Talcott); Yahoo Finance close 14-Oct-2026.

From sale process to a 46% spread: ten months to sign, then ten months of regulatory review

Shareholder, antitrust and FINRA conditions are done. Only the Delaware, New York and Massachusetts Form A approvals remain.



Implication: at 296 days since the Form A filings, no Delaware hearing notice has been posted. Delaware says a hearing is scheduled only once the application is complete, and the deal can close only after a final order. That notice is the catalyst that matters most.

Source: DEFM14A 7-Jan-2026 (background, Form A filing 22-Dec-2025); 8-Ks 6-Nov-2025, 12-Feb-2026; Q2-26 release 5-Aug-2026; Delaware DOI 17-Aug-2026; WSJ 17-Aug-2026; Bloomberg 21-May, 10-Sep, 22-Sep-2026; Royal Gazette 14-Oct-2026.

The contract protects Aquarian, not BHF, if the regulators say no

Financing is not a condition, but the $225.5M reverse fee applies only if Aquarian fails to close once all conditions are met.

Term	Detail
Consideration	$70.00 cash per share; about $4.1B. 37.0% premium to the $51.09 undisturbed close (27-Jan-2025)
Buyer and financing	Aquarian Holdings VI L.P. Equity commitment from Aquarian Capital, backed by a Mubadala Capital investment commitment (press: ~$3B), plus a bank debt commitment (press: $1.5B)
Conditions met	Stockholder vote (12-Feb-2026), HSR and FINRA: “all other conditions satisfied or waived” (Q2-26 release)
Conditions open	Form A approvals in Delaware, New York and Massachusetts (incl. investment-management agreements); no Burdensome Condition; no MAE
Outside date	6-Sep-2026, extended automatically to 6-Dec-2026 (13 months). No further automatic extension; any later date needs an amendment
Company fee (BHF pays)	$143.5M ($2.50/sh): change of recommendation or superior proposal; 12-month tail after an outside-date termination if a proposal was made
Parent fee (Aquarian pays)	$225.5M ($3.92/sh): only if Parent fails to close within 5 business days after conditions are met
Specific performance	BHF can force the equity funding and closing once conditions are met; it cannot enforce the debt commitment
Left outstanding	$1.75B of preferred (liquidation preference) and all senior and junior notes

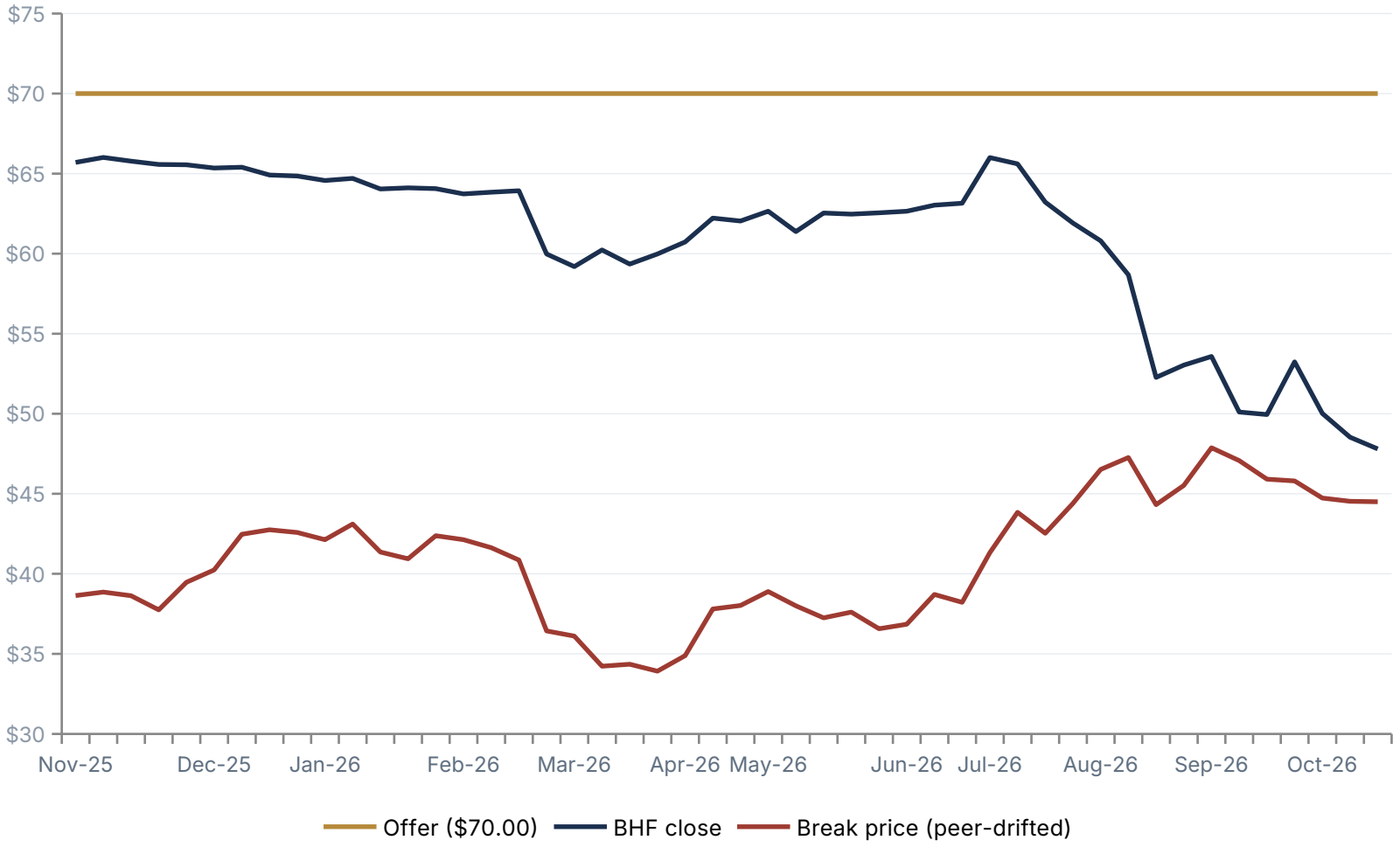
IF THE REGULATORS REFUSE OR STALL

- No fee to BHF: a regulatory failure is not a Parent breach.
- After 6-Dec either side may terminate. Extending needs both to agree, which gives Aquarian leverage.
- Aquarian need not accept a Burdensome Condition: capital or guarantees beyond its Business Plan, or new dividend limits. A demanding approval invites a price cut.
- Tail fee: if BHF agrees a deal with a bidder who approached it (e.g. Talcott) within 12 months, it owes Aquarian $2.50/sh.

Source: Merger agreement (Ex. 2.1 to 8-K 6-Nov-2025) s.6.3(f), 8.1, 8.3, 9.9; DEFM14A 7-Jan-2026 (fees, financing, specific performance); Q2-26 release (conditions status); press reports for financing amounts (Bloomberg via Kalkine, 10-Sep-2026).

The spread has widened from $4.30 to $22.20, most of it since Delaware went public in August

BHF weekly closes against the $70 offer and our break price, moved in line with the CRBG/JXN/LNC basket. The stock now trades only $3.30 above that break.



WAYPOINTS

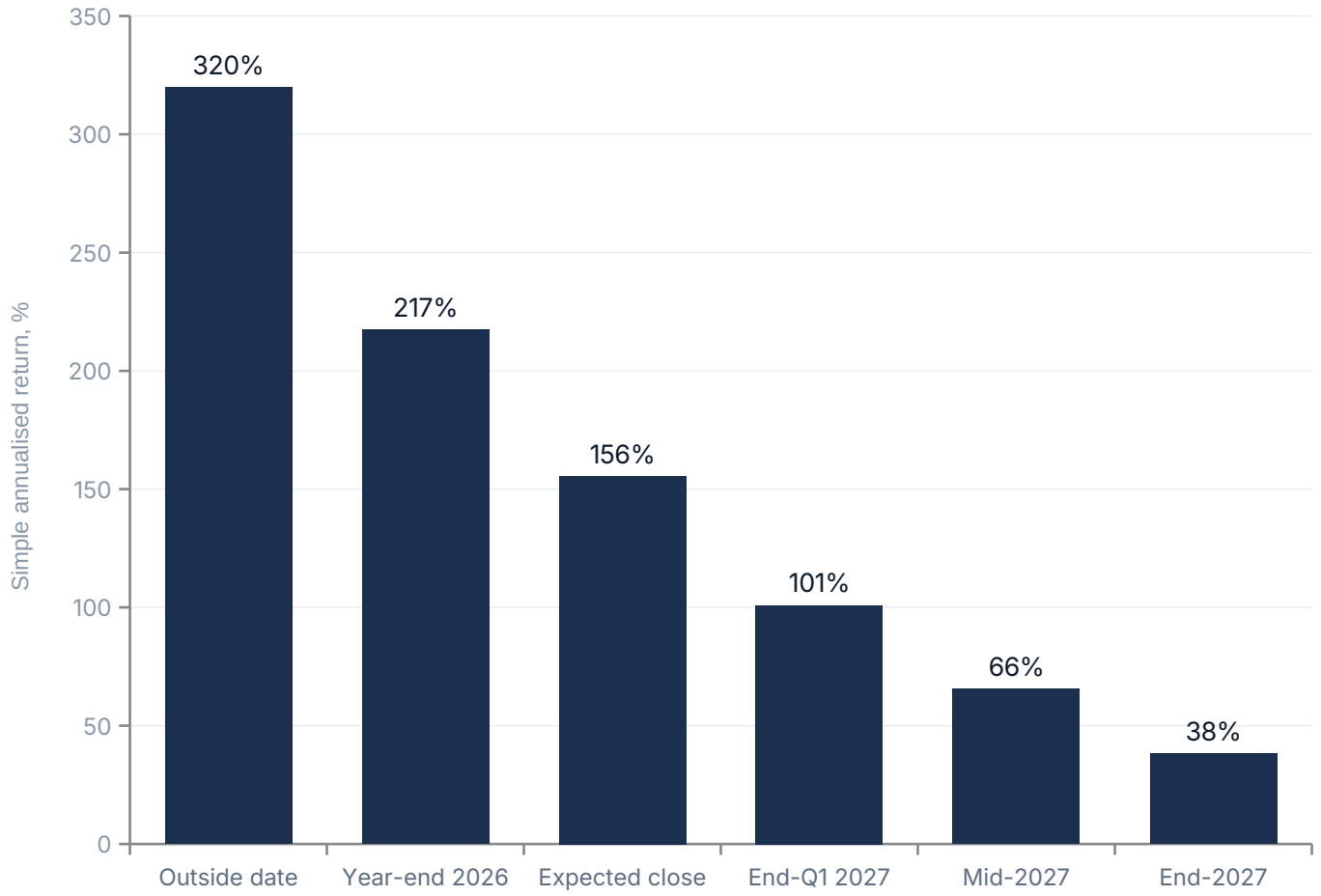
Date	BHF	Spread
06-Nov-25 (signing)	$65.70	$4.30
Peak weekly close	$66.01	$3.99
14-Aug-26 (pre-DE)	$58.68	$11.32
14-Oct-26 (now)	**$47.80**	**$22.20**

- 17-Aug: Delaware says it has hired outside experts. BHF closes down 5%, at its lowest since signing.
- 6-Sep: the original outside date passes; the deal extends automatically to 6-Dec.
- 10-Sep and 22-Sep: Bloomberg reports the regulator questioned Aquarian's capital sources, then Talcott's renewed interest.

Source: Yahoo Finance weekly (Friday) closes 6-Nov-2025 to 14-Oct-2026; model sheet SpreadHistory. Break line = $44.50 base break x equal-weight CRBG/JXN/LNC index (1.00 at the valuation date).

If it closes, the return is large on any timetable: 156% annualised to a January 2027 close

Gross spread of $22.20 (46.4%) on $47.80. No common dividend is paid before closing (merger covenant), so the spread is the whole return.



RETURN TO EACH CLOSE DATE

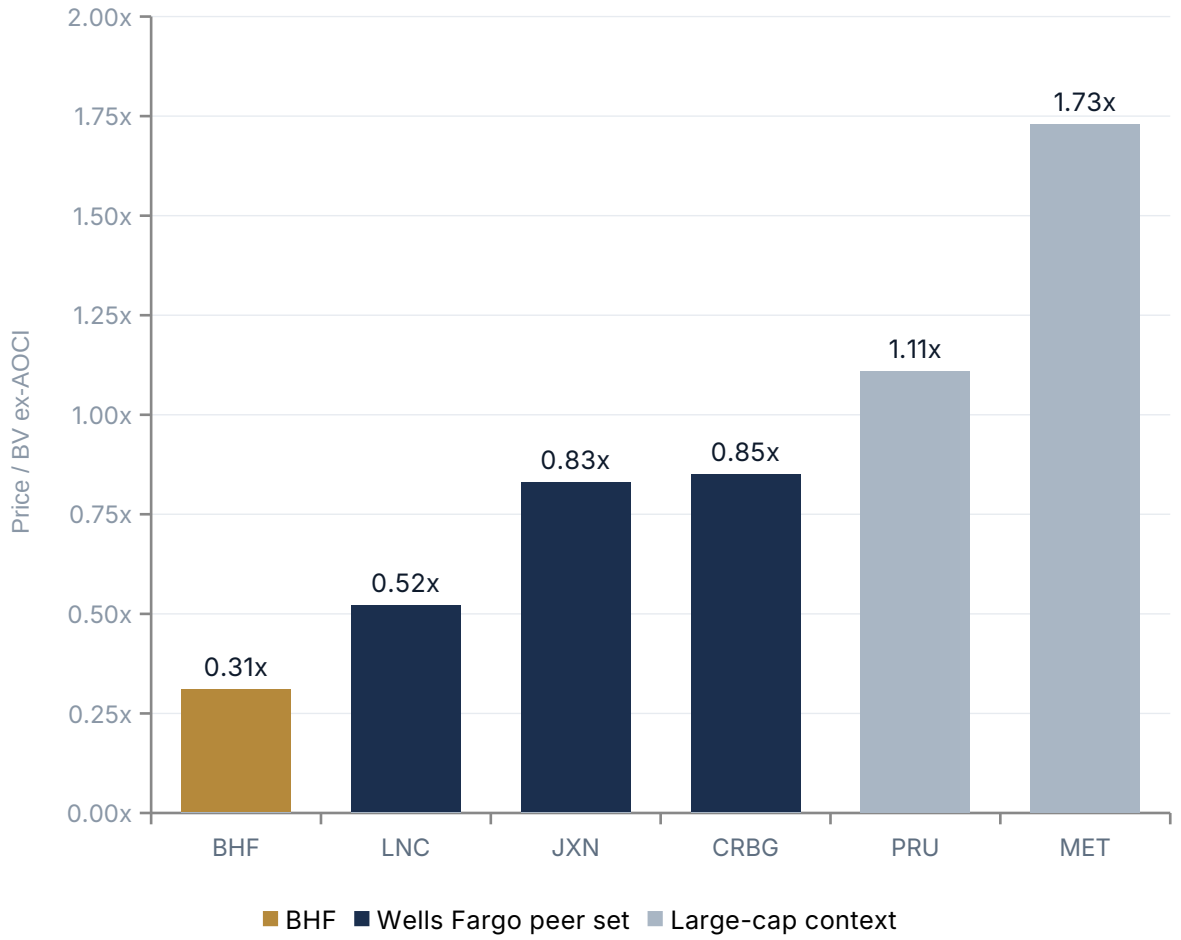
Close date	Years	Simple	Compounded	Less carry
06-Dec-26	0.15	320%	1283%	45.9%
31-Dec-26	0.21	217%	496%	45.6%
31-Jan-27	0.30	156%	259%	45.2%
31-Mar-27	0.46	101%	129%	44.6%
30-Jun-27	0.71	65%	71%	43.5%
31-Dec-27	1.21	38%	37%	41.5%

The headline returns are conditional on closing. Weighting each outcome by its probability, the expected return is +6.7% on a PV basis, or 17% annualised (slide 11).

Source: Model sheet Deal. Simple annualised = spread % / years; compounded = (1 + spread %)^(1/years) − 1; carry = 3-month T-bill (4.08%, ^IRX 14-Oct-2026). Close dates are illustrative, except the 6-Dec-2026 outside date.

BHF trades at 0.31x book ex-AOCI, a 63% discount to CRBG/JXN/LNC. Statutory capital explains why

GAAP book ex-AOCI rose 8.3% over the year to Q2-26, while statutory total adjusted capital fell 12.5%. Regulators and buyers price the statutory number.



BHF AT MARKET VS AT THE DEAL PRICE

Metric	At $47.80	At $70.00
Price / book value	0.57x	0.83x
Price / BV ex-AOCI ($156.10)	0.31x	0.45x
Equity value / statutory TAC ($4.9B)	0.56x	0.82x
P / LTM adj. EPS ($17.27)	2.8x	4.1x
Equity value ($M)	2,749	4,026

STATUTORY CAPITAL ($B, COMBINED)

	Q2-25	Q3-25	Q4-25	Q1-26	Q2-26
Total adjusted capital	5.6	5.4	5.3	5.0	4.9

RBC ratio 430-450% (target 400-450%); holding-company liquid assets $0.9B. Capital above 400% RBC: about $0.45B (derived from the TAC and the RBC midpoint).

Source: Company Q2-26 releases and supplements (BHF, CRBG, JXN, LNC, PRU, MET, EQH); Yahoo Finance closes 14-Oct-2026. CRBG, JXN and MET use company-defined adjusted BV ex-AOCI. EQH excluded: negative GAAP BV ($(6.79)/sh), 3.13x BV ex-AOCI.

Textbook break prices sit above the stock, so we anchor on what an informed bidder offered: $44.50

If $54.76 or $61.45 were the break, the implied odds of closing would be negative. The market expects a failed-sale discount.

Method	Basis	$/sh	Weight
M1 Bidder-implied	Talcott's $52.00 diligenced 2025 bid / (1 + 20.9% median premium)	$43.01	1/3
M2 Fairness-opinion DDM	Midpoints of the Goldman and Wells Fargo DDM ranges (30-Jun-2025)	$43.66	1/3
M3 Trough multiple	0.30x Q2-26 BV ex-AOCI (low end of the WF precedent range)	$46.83	1/3
Base break price		**$44.50**	
Low case	0.25x BV ex-AOCI (low end of the Goldman range)	$39.02	stress
R1 Textbook: multiple roll-forward	Undisturbed 0.351x (51.09 / 145.63) x $156.10	$54.76	high case
R2 Textbook: peer-adjusted	$51.09 x CRBG/JXN/LNC basket return since 27-Jan-25 (20.3%)	$61.45	reference

WHY WE DE-WEIGHT THE TEXTBOOK

- Statutory capital fell $0.7B (−12.5%) in a year in which the peers re-rated; BHF did not keep pace.
- Talcott, the only rival with a financing plan in 2025, bid just $48-52 after full diligence and cited higher hedging costs.
- In a break, the regulator's doubts about a sponsor-style buyer also weigh on Talcott, and event-driven holders would sell.
- Cross-check: at $44.50, BHF would trade at 0.29x BV ex-AOCI and 0.52x TAC.

Source: DEFM14A 7-Jan-2026: Party C $52.00 exclusivity price; Goldman 706-deal median premium 20.9% (75th pct 43.4%); GS DDM $30.40-52.57; WF DDM $34.73-56.92; WF precedents 0.30-0.50x. BV ex-AOCI $145.63 (31-Dec-24) and $156.10 (30-Jun-26): BHF releases. Model sheet Break.

Standalone methods cluster in the low-to-mid $40s; only control bids and peer multiples get near $70

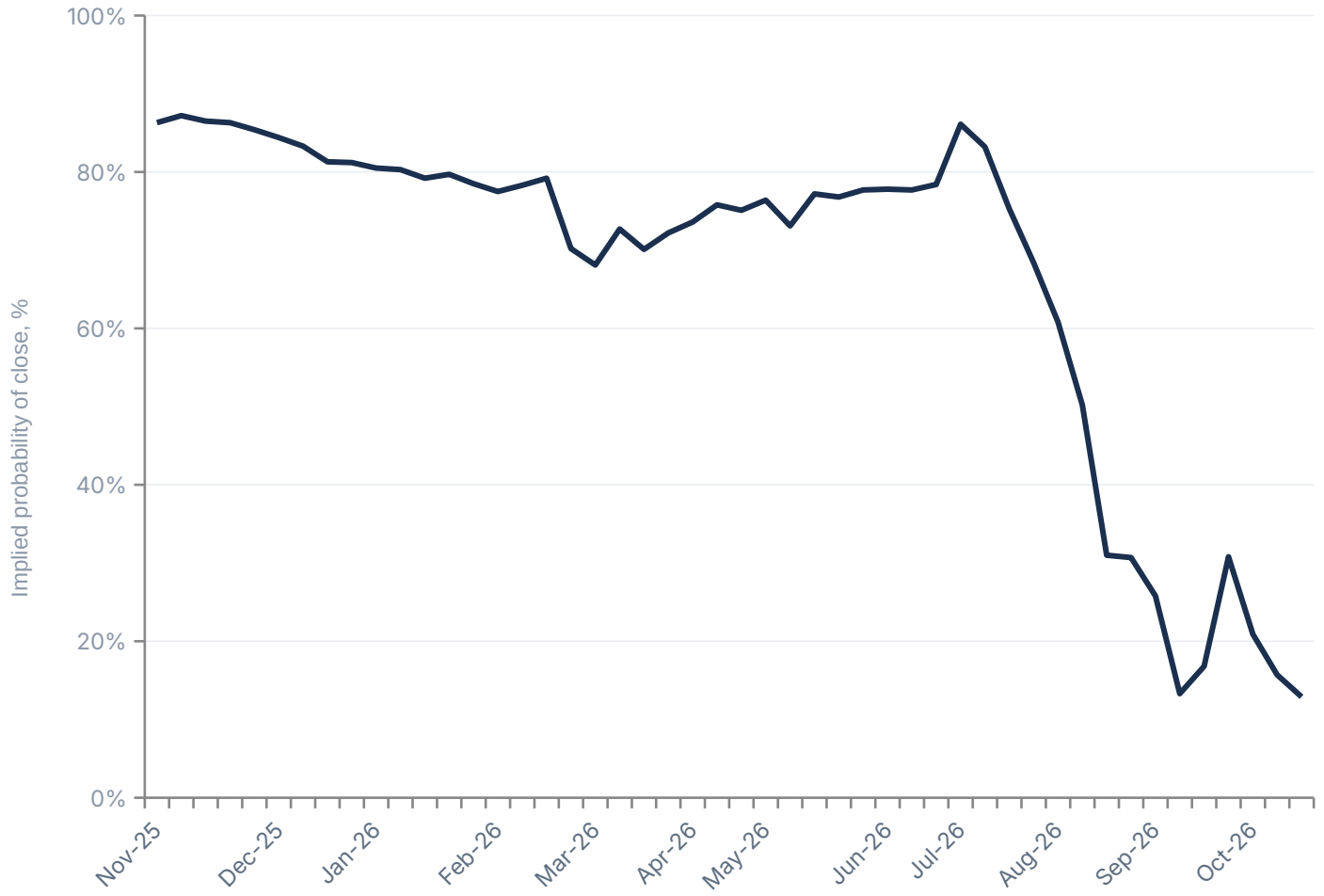
Break-value football field, $ per BHF share. Dashed lines: base break $44.50, close $47.80 and the $70.00 offer.



Source: DEFM14A 7-Jan-2026 (Goldman and Wells Fargo analyses; Party C proposals; pre-signing 52-week range); BHF Q2-26 release (BV ex-AOCI $156.10). Model sheet Football. Goldman's precedent range ($37.96-171.53) omitted as uninformative.

The market's implied odds of closing fell from 86% at signing to 15% today

Implied P(close) = (price – break) / ($70 – break). The weekly series uses the peer-drifted break and no carry; the headline adds carry to the expected close.



IMPLIED P(CLOSE): BREAK PRICE X CLOSE DATE

Break \ close	06-Dec-26	31-Jan-27	30-Jun-27
$39.00	29%	30%	33%
$42.00	22%	23%	26%
$44.50 (base)	14%	**15%**	18%
$47.00	5%	6%	10%
$50.00	-10%	-8%	-4%

Other readings	P(close)
No carry, base break	12.9%
P($70) if Talcott is 20% at $52	9.3%
Low-case break $39.02	30.2%
Textbook break $54.76	-41.9%

Source: Model sheets SpreadHistory and Implied. Yahoo Finance weekly closes. Carry at the 3-month T-bill (4.08%). Expected close 31-Jan-27 (assumption).

Probability-weighted value is $51.00 (PV), 6.7% above the price

Four outcomes. Probabilities are our judgement and are flagged as assumptions; payoffs are discounted to today at the T-bill rate.



EXPECTED VALUE

	Value
EV, nominal	$51.88
EV, PV	**$51.00**
vs price	+6.7%
Annualised	17%
Horizon (yrs)	0.42
Std. dev. ($)	9.89

Our total chance of closing (25%) is above the market's 15%: financing is committed, every other condition is met, and regulators usually impose conditions rather than reject outright.

Source: Model sheet Scenarios. A: $70 per merger agreement. B: assumed 10% cut via the Burdensome Condition lever. C: Talcott's 2025 $52 price, tail fee absorbed by the bidder, new Form A cycle. D: base break $44.50.

The trade loses money only if the odds of closing fall below 5% or the break is below $38.64

Expected PV return by the probability of closing as signed (rows) and the standalone break price (columns). B and C held at 7% and 20%; D takes the rest.

P(A) \ break	$39.00	$42.00	$44.50*	$47.00	$50.00
8%	−6.0%	−1.9%	+1.5%	+4.9%	+8.9%
13%	−2.8%	+1.0%	+4.1%	+7.2%	+11.0%
18% (base)	+0.4%	+3.8%	**+6.7%**	+9.6%	+13.0%
23%	+3.6%	+6.7%	+9.3%	+11.9%	+15.0%
28%	+6.8%	+9.6%	+11.9%	+14.3%	+17.1%

* Base break price. Shaded red: negative expected return; green: above +8%.

BREAKEVENS AND STRESS

Measure	Value
Breakeven P(close as signed)	5.2%
Market-implied P(close)	15.2%
Breakeven standalone break	$38.64
Upside / downside, base break	6.7x
Upside / downside, low break	2.5x
Bear-case expected return	−4.6%

The bear case is negative: if both the odds and the break are worse than our base, the edge disappears. That is why the position is small.

Source: Model sheet Scenarios (grid computed live in the workbook). Bear case = P(A) 10% with the $39.02 low-case break.

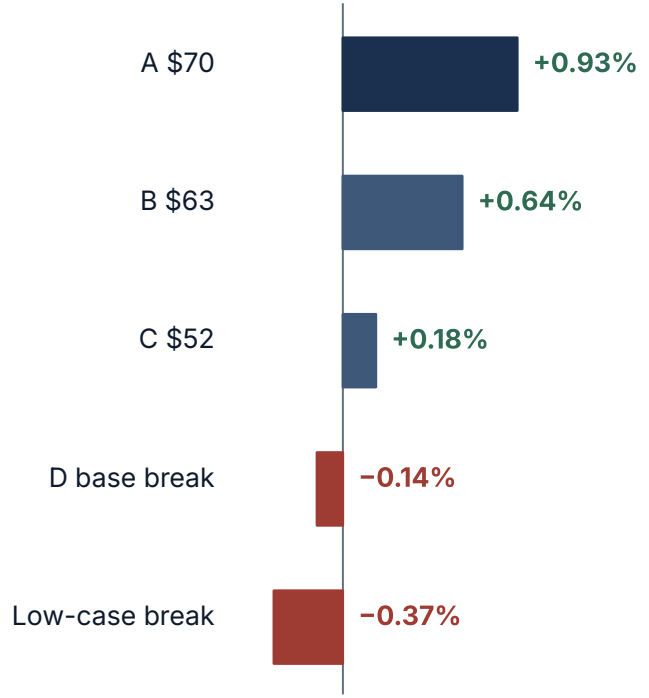
Size it as an option: 2% of NAV risks 0.14% in the base break and 0.37% in the low case

Kelly supports far more in the base case but zero in the bear case, so a loss budget and hard cap set the size; a peer short hedges sector beta.

FROM KELLY TO A POSITION

Step	% NAV
Full Kelly, base case	292%
Full Kelly, bear case	0%
Quarter-Kelly (base)	73%
Loss budget 0.60% / 18.4% low-case loss	3.27%
Hard cap (single event)	3.0%
Maximum position	**3.0%**
Starter position	**2.0%**

NAV P&L BY OUTCOME, 2% STARTER



Change in fund NAV if each outcome occurs

Nominal payoffs. Expected NAV contribution: +0.13% (PV).

HEDGING

Measure	Value
Undisturbed beta to peer basket	0.78
Correlation	0.70
Hedge ratio = beta x P(D)	0.43
Basket short at 2% starter	0.85% NAV
Basket short at 3% max	1.28% NAV

- The short hedges the sector move in the break value, not the jump itself. Close it out if the deal closes.
- Puts or put spreads on BHF would cap the jump risk. We have not priced them because we had no options data.
- The listed preferreds and notes stay outstanding after the merger, so they do not hedge the common.

Source: Model sheets Sizing and Hedge. Kelly = argmax of E[ln(1 + f r)] over the scenario PV returns (grid in workbook). Beta: 105 weekly returns of BHF vs equal-weight CRBG/JXN/LNC, 2023 to 24-Jan-2025 (undisturbed). Loss budget and cap are assumptions.

What to watch: a Delaware hearing notice before 6-Dec is the signal that changes the odds

Forward catalysts and how the position responds to each. Dates marked (est.) are not confirmed by the company.



WHAT IT TELLS US	WHAT IT TELLS US	WHAT IT TELLS US	WHAT IT TELLS US	WHAT IT TELLS US	WHAT IT TELLS US
BHF $47.80; implied P(close) 15%	RBC, TAC, holdco liquidity; deal-timing language	Means Delaware considers the Form A complete	Approvals, or conditions that trigger a Burdensome Condition	Either party may terminate. An amendment means both still want the deal	A deal agreed within 12 months triggers a $2.50/sh tail fee
POSITION	**POSITION**	**POSITION**	**POSITION**	**POSITION**	**POSITION**
Enter 2% NAV starter with peer hedge	**Falling TAC or softer language: trim**	**Add to 3% max**	**Conditions: model a price cut (B)**	**Amended: hold. Terminated: see next**	**Public Talcott bid: hold for C. None in 30 days: exit**

Days to outside date: 53. Days since Form A filings: 296. Delaware law requires at least 20 days' notice of the hearing, so closing by 6-Dec needs a notice by about 16-Nov.

Source: Merger agreement s.8.1 and 8.3 (outside date, tail fee); Delaware DOI 17-Aug-2026 (hearing process); 18 Del. C. s.5003 (20-day hearing notice); MarketBeat (Q3-26 date estimate, unconfirmed); Q2-26 release. Reactions are the case study's rules, not forecasts.

The main risks are regulatory, and each has a rule written into the position

Ranked by expected damage to the position. Impacts are per BHF share from today's $47.80.

Risk	Likelihood	Impact	Mitigant / rule
Delaware rejects, or stalls past 6-Dec with no amendment	High	Base break ($3.30) (−6.9%); low case ($8.77)	Small size (2% NAV) and a loss budget that holds at the low-case break. Exit if no bidder appears within 30 days of termination.
Approval with heavy conditions leads to a price cut	Medium	Scenario B: $63 (+32%)	Still profitable from $47.80. Watch the NY/MA orders for capital, guarantee or dividend terms that go beyond the Business Plan.
Aquarian's financing weakens (syndication, CFIUS on Mubadala)	Medium	Raises the odds of D	BHF can force the equity funding once conditions are met; the reverse fee ($3.92/sh) applies to a failure to close. Track Mubadala and CFIUS news.
Break value lower than modelled (holders sell, capital drift)	Medium	Every $1 lower = 2.1% more loss	The peer-basket short (0.43x) hedges sector drift. Trim if Q3-26 shows TAC still falling.
Talcott does not follow through, or the tail fee deters it	Medium	C falls away; more weight on D	Hold for C only on a public, financed proposal. The $2.50/sh tail is small next to a $52 bid.
Litigation or an RBC shock before closing	Low	Delay; MAE argument	Two NY disclosure suits were filed in Jan-2026. Q2-26 RBC of 430-450% is in the target range; watch market-driven RBC moves.

Source: Model sheets Scenarios and Sizing; merger agreement s.6.3(f) (Burdensome Condition), s.8.3 (fees); DEFM14A (CFIUS filing on Mubadala's commitment; specific performance); Bloomberg 10-Sep-2026 (regulator questions on capital).

Buy BHF with a 2% starter, add to 3% on a hearing notice, and exit a dead deal quickly

This is an event option, not a classic low-risk arbitrage. The rules below keep losses small if the deal breaks and capture the upside if it closes.

1

Enter

Buy 2% of NAV at or below $49; short 0.85% NAV of CRBG/JXN/LNC

2

Add

On a Delaware hearing notice or an NY/MA approval, go to the 3% cap

3

Hold

Through 6-Dec if the parties amend the outside date

4

Re-underwrite

Approval with conditions: re-price to scenario B ($63) and resize

5

Exit

Terminated with no public financed bid within 30 days: sell. Talcott bid: hold for $52

WHY LONG, NOT PASS

- The expected PV return is +6.7% (17% annualised), and it stays positive above a 5.2% chance of closing.
- The downside is bounded by fundamentals: $44.50 is 0.29x BV ex-AOCI with RBC at 430-450%.
- Two routes to a profit: Aquarian at $70, or Talcott at about $52.

WHAT WOULD MAKE US PASS OR EXIT

- A public Delaware statement or order that rejects the Form A, or Aquarian walking away from conditions
- Q3-26 TAC below $4.7B or RBC below 400%, which would lower the break price
- BHF above about $53 with no new regulatory news: the asymmetry narrows (implied odds near 30%)

Source: Model (all figures); rules are the case study's own and are illustrative. Not investment advice.

Appendix: key assumptions and what could not be verified

Every input is in the Inputs sheet and figures.json with its unit, as-of date and source URL, or is marked as an assumption.

KEY ASSUMPTIONS

Assumption	Value
P(A) close as signed / P(B) renegotiated	18% / 7%
P(C) Talcott / P(D) standalone	20% / 55%
Renegotiated price / Talcott price	$63.00 / $52.00
Expected close (A / B / C)	31-Jan-27 / 30-Apr-27 / 31-Dec-27
Trough / low-case P/BV ex-AOCI	0.30x / 0.25x
Discount rate for payoffs	3M T-bill 4.08%
Kelly fraction; loss budget; cap	0.25; 0.60% NAV; 3.0% NAV
Peer basket for drift and hedge	CRBG, JXN, LNC (Wells Fargo set)

NOT VERIFIED FROM PRIMARY SOURCES

- That Party C in the proxy is Talcott (Bloomberg/Royal Gazette say so, citing a filing and a source).
- The terms of Talcott's August 2026 letter: no price has been disclosed.
- Financing amounts (Mubadala ~$3B, $1.5B loan, $406M of BHF cash): press-reported.
- Status of NY and MA reviews and of CFIUS: no public update found.
- Q3-26 results date (~5-Nov-2026): third-party estimate.
- The Royal Gazette page returned a site error when fetched; its text was confirmed via a search index and the Bloomberg Law original.
- The 15-Oct-2026 close was not final in the data feed at build time (indicative $48.70), so the valuation date is 14-Oct.

Source: figures.json; model/BHF_merger_arb_model.xlsx (check.py: 0 mismatches). Press-reported items (financing amounts, Talcott letter, regulator questions) come from Bloomberg, WSJ and Royal Gazette and are not confirmed in SEC filings.